

Quick questions

- A1** Explain why a subsidiary's identifiable net assets are measured at fair value at the acquisition date?
- A2** Which of the following will be recognized as part of the cost of an investment in a subsidiary, in the parent company's books at acquisition:
- i) A cash payment of £100,000 to be paid the former shareholders of the subsidiary in six months' time
 - ii) An agreement to pay £30,000 to the subsidiary's shareholders if the subsidiary achieves a certain profit target next year. At the acquisition date, the directors think it is unlikely that the subsidiary will meet the target
 - iii) Professional fees of £5,000 paid to advisors
 - iv) Shares issued in the parent company to the shareholders of the subsidiary to buy their shares in the subsidiary
- a) i), ii), iii) and iv)
 - b) i) and iv)
 - c) i), ii) and iv)
 - d) none of the above

- A3** On 1 September 2014, Tom Ltd acquired all Will Ltd's 200,000 equity shares. Details of the transaction are as follows:

- Tom Ltd issued 1 share in itself, for every share it acquired in Will Ltd. On 1 September 2014, the market price of a Tom Ltd share was £1.50 and the market price of a Will Ltd share was £2.00.
- Tom Ltd also agreed to pay Will's existing shareholders £660,000 cash on 1 September 2015. Tom's borrowing rate is 10%.
- Tom paid £80,000 to its legal advisors for work on the acquisition.

What would be the fair value of the consideration used to calculate goodwill in Tom's consolidated accounts?

- a) £1,000,000
- b) £980,000
- c) £960,000
- d) £900,000

A4 Propeller plc owns 100% equity shares in its subsidiary, Boat Ltd. During the year, Boat Ltd sells goods to its parent Propeller plc for £120,000 at a gross margin of 20%. Propeller plc still has 25% of the goods left in its inventory at its year end of 30 September 20X4.

i) What is the unrealised profit adjustment in the consolidated accounts of Propeller plc to 30 September 20X4?

- a) £5,000
- b) £6,000
- c) £12,000
- d) £10,000

ii) Where would the unrealised profit adjustment above be recorded when preparing the consolidated statement of financial position of Propeller plc?

A5 P Ltd has controlled subsidiary S Ltd for many years. On 1 July 20X4, P gave a 6% loan of £100,000 to S. The interest has been accrued correctly in the separate company accounts of P and S. For the year ended 31 December 20X4, the finance costs in the separate financial statements are as follows:

P Ltd	£50,000
S Ltd	£10,000

What is the total finance cost in P Ltd's consolidated statement of profit or loss for the year to 31 December 20X4?

- a) £48,000
- b) £54,000
- c) £57,000
- d) £60,000